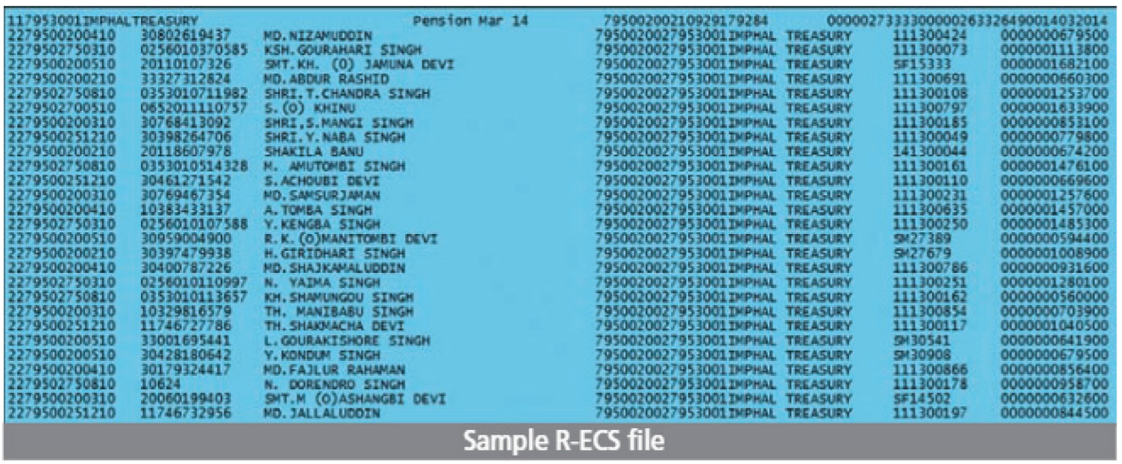


Figure 16.7 **ECS**

of a loan, electricity bills, telephone bills, insurance premium, as well as SIP investments. See Figure 16.7

ECS can be used for both credit and debit purposes i.e. for making bulk payments or bulk collection of amounts.

- ECS credit: ECS credit is used for making bulk payment of amounts. In this mode, a single account is debited and multiple accounts are credited. This type of transactions are Push transactions.Example: if a company has to pay salary to its 100 employees it can use ECS credit system than crediting every employees' account separately.
- ECS debit: ECS debit is an inverse of ECS credit. It is used for bulk collection of amounts. In this mode, multiple accounts are debited and then a single account is credited. This type of transactions are Pull transactions. Example: The insurance premium of bulk number of customers is debited from customer's bank account on their prior consent and paid to insurance company.



EFT is known by a number of names across countries. In India, it is called as N-EFT (National Electronic Fund Transfer), in the United States, they may be referred to as "electronic cheques" or "e-cheques". National Electronic Funds Transfer (NEFT) is an electronic funds transfer system initiated by the Reserve Bank of India (RBI) in November 2005. It is established and maintained by Institute for Development and Research in Banking Technology (IDRBT). NEFT enables a bank customer to transfer funds between any two NEFT-enabled bank accounts on a one-to-one basis. It is done via electronic messages. Unlike RTGS, fund transfers through the NEFT do not occur in real-time basis.



16.4.2 Electronic Funds Transfer

Electronic Funds Transfer (EFT) is the "electronic transfer" of money over an online network. The amount sent from the sender's bank branch is credited to the

XII CompApp_English version CHAPTER 16.indd 230 23-02-2020 14:52:16